

Accounting and Accountability

Week 4



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Key concepts

What is fraud?

Fraud is defined in the Australian Auditing Standard ASA 240 as:

“Fraud means an intentional act by one or more individuals among management, those charged with governance, employees, or third parties, involving the use of deception to obtain an unjust or illegal advantage.” (ASA240.12(a))

Fraud is **intentional** – someone plans to engage in fraud, and it doesn’t happen by accident.

Deception is a key word because it means that the individual (or group of individuals) engaging in the fraud are trying to get the business to believe something that is not correct or not true.

And finally the words unjust or illegal **advantage** are emphasised because it represents the outcome of the fraud – notice that it doesn’t focus just on cash being stolen, but any type of advantage.

Key concepts



Romantic fraud

Have you seen
the documentary
'Tinder Swindler'?

Simon pretending to be a billionaire, starts relationships on Tinder and showers the girls with his luxury lifestyle. He then borrows money from them that he never repays.



Key concepts



Fraud against the government

Some people claim government benefits by lying about their situation. Some people and businesses claimed Covid19 support payments by lying about their situations.



Key concepts

Company fraud

The management of a company can mislead stakeholders by telling lies and presenting fake financial statements. This happened in the case of **Theranos** which is explored in your textbook.



Key concepts



Employee fraud

Employees who work in a business steal money or assets from the business. A recent news story tells of an accountant who transferred \$940,000 out of the business and into her personal bank account.



Key concepts

Accounting fraud

- Assets like cash or inventory are stolen from the business by an employee or the accountant. This has an accidental impact on the financial statements.
- Financial statements deliberately include fake numbers. For example, financial statements show cash that doesn't exist or not showing some of the liabilities or showing sales that didn't happen.



Key concepts

Detecting fraud in the workplace

The **fraud triangle** suggests three factors have to be in place for an employee to commit fraud.

1. Incentives or pressures. What is happening in the employees life? Do they have a gambling problem, do they dream of living a luxury lifestyle, maybe they have too much debt or some financial issue or problem. Usually this problem will be kept a secret.

2. Perceived opportunity. The employee needs to have a way of doing it. How will they steal from the business without anyone knowing. They may be the only accountant in the business and start transferring payments to their own bank account, and hide the transactions.

Key concepts

Detecting fraud in the workplace

3. Attitudes and rationalisation:

Attitudes: our values and beliefs about fraud. What do you think about fraud? What about something small? When you are at the supermarket self-service do you sometimes put items in your bag that you haven't scanned? Is this ok? Its stealing right. Is it ok to take a pen home from the office stationary? Or what about a taking a laptop from work to use at home, no-one will miss it. Is that ok?

Rationalisation: can you convince yourself this is an ok thing to do? People who commit fraud may believe that they deserve the extra money, that they are entitled to it, they may justify it because 'everyone else is doing it, or you may feel pressure to keep up with your friends spending.

Key concepts--The fraud triangle



Key concepts

How can we detect fraud?

1. Detecting fraud within a business.

The system of internal controls should help to detect fraud (we will learn about internal control on the next page). For example, when looking for fraud the first step is to observe the business culture by talking to employees and observing how they do their jobs. This will give you an understanding of the business environment.

- Monitor the elements of the fraud triangle.
- Use AI and analytical tools to monitor systems and data and look out for unusual activity.
- Regular audits.
- Hotline or whistleblower line for employees to report fraud.
- Forensic investigation.

Key concepts

How can we detect fraud?

2. Detecting fraud from outside the business.

Fraud can be detected from a stakeholder who is outside the business. The following stakeholders who are interested in a business may notice something unusual which may lead to further investigations which detect fraud.

- ASIC.
- Investors.
- Financial analysts.
- Media.
- Whistleblowers.

Quick Check

Let's have a try

Let's imagine you are an accountant for a florist that sells beautiful flowers from 9am-5pm on Monday to Friday.

One employee goes to the flower markets early in the morning to purchase the flowers for the shop. You are suspicious that this employee may be stealing money.

This is the latest record of purchases which includes the date, the cash paid and how many flowers were purchased. Do you see any unusual activity on this purchase record?

There are four items to identify in the purchase record.

Quick Check

Date	Cash paid	Inventory purchased
Monday 4:30am 21 Feb 2022	\$ (15,435)	+ 15,435 (810 units)
Monday 4am 28 Feb 2022	\$ (19,720)	+ 16,720 (845 units)
Monday 5am 4 March 2022	\$ (15,800)	+ 15,800 (817 units)
Tuesday 5pm 4 March 2022	\$ (13,500)	+ 13,500 (693 units)
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Key concepts

What is internal control?

Internal controls are the systems a business puts into place to manage risk and decrease the chance of fraud occurring.

“Internal controls over financial reporting, and other risk areas, are the most important tools directors and management have to manage risks, prevent fraud, and ensure they have oversight of what is happening in their business.” (Ghandar, 2020)

Key concepts

What is internal control?

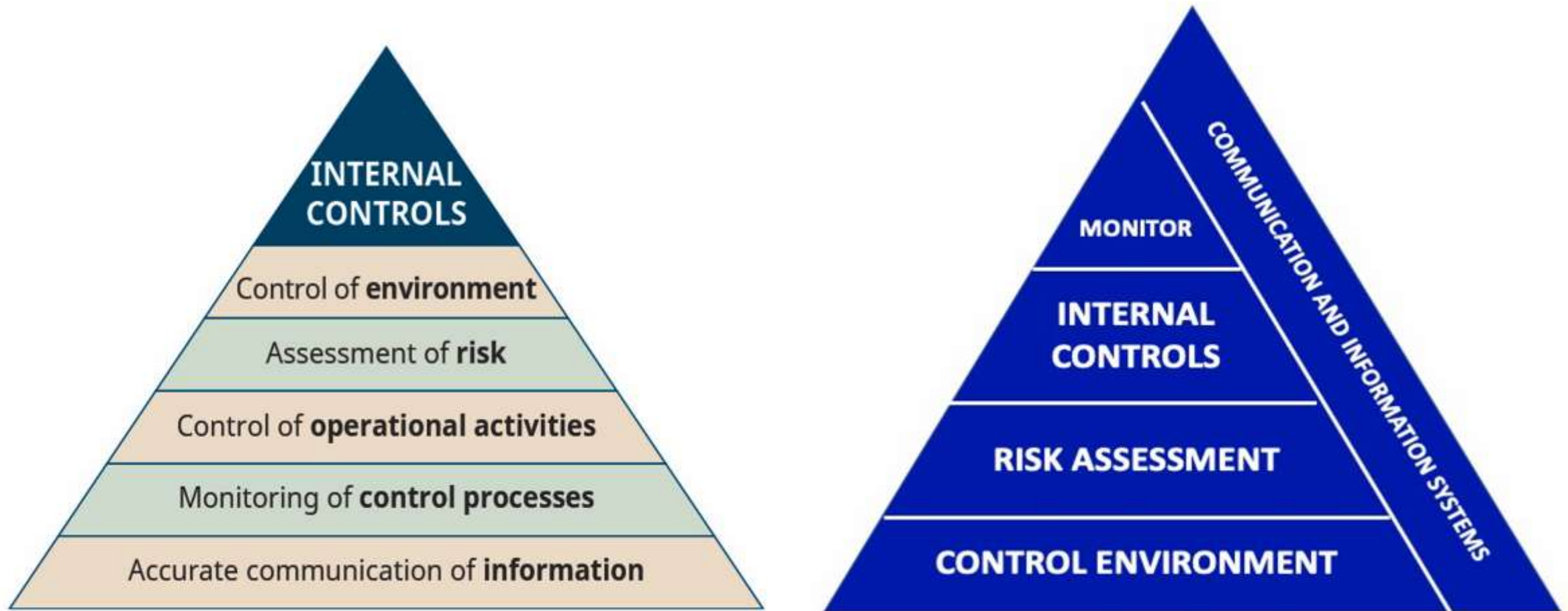
You see internal controls everywhere as you go about your life. For example:

- Shops use cash registers to record each sale.
- You have to tap on to get onto the train station. Barrier gates prevent you from using the train without paying.
- Businesses lock offices. Security guards protect assets.
- Employees have usernames and passwords to login to the system.

The purpose of an internal control system is to ensure:

- ✓ Assets are kept secure and used efficiently. We don't want assets stolen or purchased and not used. Organisations need to carefully ensure that data is kept secure.
- ✓ The accounting system functions properly. This means financial statements have the correct information.
- ✓ The business is operating efficiently.
- ✓ All employees follow business policies, procedures, laws and regulations.

Key concepts--the framework for systems of internal controls



Key concepts

- **Control environment**-- The control environment is the environment in which the business and its employees operate – it is the culture that management create, the business's operating philosophy, how it hires and remunerates employees. It can be difficult to measure in a quantifiable way – but the control environment strongly influences employee attitudes in relation to fraud.
- **Risk assessment**-- an assessment of their operating environment to identify any potential risks (or threats) to the business and their ability to achieve their goals. This involves identifying, analysing and managing business risk. Risks may arise from the structure of the business itself, the nature of the industry, a change in government regulation, the actions of employees or the actions of competitors.

Key concepts

- **Internal control activities**—Internal controls are policies, procedures, systems and processes to ensure that all employees engage in a manner that helps the business achieve its objectives. Internal control activities are typically embedded within business processes and systems. Examples of internal control activities include locking offices, passwords for computers and separation of duties.
- **Communication and information system**--This is about a business collecting data, both financial and non-financial information about what is happening in the business and understanding if there are internal control issues. This runs along the other components because the information systems help to collect data on the business environment, helps to analyse risk and helps to monitor if the controls are effective. This also involves communicating to all employees so everyone is on the same page.
- **Monitoring of internal controls**--It is critical that businesses monitor the performance of their internal controls and it sits at the top of the triangle because it oversees all of the other components. This is because a failing control increases the opportunity for fraud, or intentional error.

Key concepts--Overall goals of a system of internal controls

The primary goal is to protect the equity of shareholders – the value of the business. That can be broken down further into the following aspects:

- ensure assets are properly used
- ensure that the accounting system is functioning properly
- monitor operations of the business to ensure maximum efficiency • ensure that assets are kept secure
- ensure that employees are in compliance with business policies and procedures and government regulations

Key concepts

Who is in charge of internal control?

It depends on the business structure. In a large public company the management team is responsible for company management (**corporate governance**) and implementing internal controls. Company management includes:

The board of directors: they represent the shareholders and meet approximately 6 times per year to set the overall objectives of the business. The board of directors includes executive and non-executive directors. Executive directors are managers in the company and so they work everyday in the company. The non-executive directors do not work in the company and are 'independent'.

Management: run the day-to-day activities of the business and need to decide how to make the boards strategic objectives happen. Management also design and implement internal controls.

❑ Departments who oversee risk: these departments are part of management and may include internal audit or risk and governance departments.

Key concepts

- **Concept of corporate governance**

the framework of rules, relationships, systems and processes within and by which authority is exercised and controlled within corporations. It encompasses the mechanisms by which companies, and those in control, are held to account

Key concepts

Elements of internal control

When you are designing the system of internal controls for a business you need to include these key elements. These key elements will be the internal control activities.

- ◆ **Establish clear responsibilities:** each employee has a job description (role and responsibility for each job) which is linked to access to business computer systems.
- ◆ **Proper documentation:** provides evidence of what has happened and who was involved. For example, for each customer sale there is a receipt, either paper or electronic. The business will also have an electronic record of the sale.
- ◆ **Adequate insurance:** insurance for business assets.
- ◆ **Separation of duties:** different people doing different jobs.
- ◆ **Use of technology:** technology can build controls into business processes.
- ◆ **Monitoring internal controls:** Internal controls need to be constantly reviewed. This can be done by an internal auditor (an employee within the business) and/or an external auditor (a professional accountant from outside the business who can give an outside perspective).

Key concepts

Internal controls over cash

There are many types of internal controls that a business may implement to protect cash including:

1. Payments for goods and services can only be made electronically – this stops employees from stealing physical cash – it can be much harder to steal cash electronically from a bank account.
2. Cash registers – that record all transactions, Electronic Funds Transfer (EFT) payments by debit or credit card, and physical cash transactions.
3. Security cameras – that are placed over areas where cash is handled in a business – such as the register and in a back office.
4. Regular checks of the bank statements by owners of the business to identify any transactions that look unusual or potentially fraudulent.

Tutorial activities--Tutorial 4A

Have you observed theft in your work or in a shop? Can you share this with the class.

- a. Yes at work.
- b. Yes in a shop.
- c. Yes at both places.
- d. No.

Which item is a component of internal control?

- a. Risk assessment.
- b. Perceived opportunity.
- c. Separation of duties.
- d. I don't know.

Tutorial activities--Tutorial 4A

When you are designing internal controls for a business you need to consider the elements of internal control. Which item is an element of internal control?

- a. Incentives or pressures.
- b. Control environment.
- c. Clear responsibilities.
- d. I don't know.

You are a store manager at a supermarket. You are concerned about customers stealing products. What control activities could you implement to prevent and detect the theft?

From your everyday life, uni or work, what are some examples of internal controls that you have observed?

Tutorial activities--Tutorial 4B

Marketing Love ♥ (ML) Internal control case study

Marketing Love ♥ (ML) is a digital marketing agency owned by Leah. They provide marketing services to other businesses. They also sell corporate gift baskets to their marketing clients that can be used as part of marketing campaigns.

Here are five situations that have happened at ML. For each of the situations, identify three things:

- Identify the control activities.
- Identify any control weaknesses.
- Design an internal control for each control weakness you have identified.

Tutorial activities--Tutorial 4B

1. The business has grown rapidly over the last few years. Leah has employed an office manager responsible for paying the wages and salaries. The office manager records the wages and salaries, makes the payments and records the transactions in the accounting software. At the end of the year, Leah reviewed the profit and loss statement and noticed that the salary and wages expenses were a lot higher than in past years and couldn't understand why.

Control activity:

Control weakness:

Internal control suggestion:

Tutorial activities--Tutorial 4B

2. Leah has a set of policies and procedures for her business. She ensures that all new employees receive a copy of the policies and procedures when they start. Leah sometimes takes shortcuts when things are busy and doesn't always follow policies and procedures. ML is her business, so she doesn't see any problems with cutting corners if it means she can get her work done more efficiently. Leah's employees have noticed this and do the same if they are busy.

Control activity:

Control weakness:

Internal control suggestion:

Tutorial activities--Tutorial 4B

3. ML has employed a new sales manager to help expand the business into new areas. Leah was so impressed with their two degrees, a master's (MBA) and extensive experience that she didn't do any reference or resume checks. As the manager is so experienced, Leah doesn't supervise their work and allows them to do what they like. The new manager has expanded the range of marketing merchandise sold and found a new supplier.

Leah had to send the sales manager to a business writing course when their emails were poorly written. She also noticed a few payments made for merchandise that didn't add up. It also seems the sales manager has had a previous relationship with the new supplier.

Control activity:

Control weakness:

Internal control suggestion:

Tutorial activities--Tutorial 4B

4. The office manager is responsible for paying all invoices and bills. Due to increased scams, the manager only pays amounts on original invoices. The office manager recently received an email from a supplier saying they had changed their bank account details. The office manager immediately updated the banking details and paid the invoice to the new bank account. One month later, the office manager got another email saying the invoice she paid hadn't been paid.

Control activity:

Control weakness:

Internal control suggestion:

Tutorial activities--Tutorial 4B

5. The office manager can access all the business software she needs to do her job, like the accounting software. No other employees have this access as it is not relevant for them to do their jobs. The office manager often goes out to lunch and leaves her computer open. She has adjusted the settings so the computer never automatically locks, as she finds this annoying.

Control activity:

Control weakness:

Internal control suggestion:

Tutorial problems week 4

Do some online research and find a real-life example of workplace fraud. share a brief description of the real-life example you found, and then try to frame it in the context of the fraud triangle. What was the incentive or pressure in this story? What was the opportunity? What was the attitude or rationalisation for this fraud? How can we prevent it using internal control system?

- You will work in groups (4-5 in one group) on tutorial problems.
- You will prepare a PPT and present the solution with the class in tutorial week.
- All group members need to participate and explain the solution and also answer any further questions from the class.
- Time limit: 15-20 minutes.